

Industry holds up, but inflation is rising

- **Key changes:** Data revisions suggest Austria's investment and net trade held up better than previously estimated last year, providing a more benign starting point for 2026. Given this improved momentum, we've raised our 2026 GDP growth forecast by 0.1ppt to 0.6%. However, we've reduced our private consumption forecast as accelerating inflation squeezes real incomes. We've increased our projection for industrial production given recent resilience and strong PMI readings. Despite the recent improvement, momentum is likely to fade as the Middle East conflict drags on, and we've lowered our 2027 GDP growth forecast by 0.1ppt to 1.4%.
- **Short-term forecast:** GDP grew by 0.2% q/q in Q1, but we expect some payback in Q2 as inflation weighs on private consumption. Growth this year should still hold up as industrial strength partially offsets the drag on household spending. CPI has continued to accelerate, reaching 3.7% in May. We now forecast CPI will average 3.5% this year, followed by 2.1% next year as energy base effects kick in.
- **What to watch out for:** Accelerating inflation is the key near-term concern, as higher energy and services prices weigh on private consumption. A prolonged Middle East conflict and persistent competitiveness challenges add to the downside risks. On the upside, Germany's fiscal expansion and broader EU defence spending increases could provide a meaningful boost to Austrian industry, which has already proved more resilient than expected.

Table 1: Austria forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	-0.7	-0.8	1.0	0.6	1.4	1.9
Private consumption	-0.2	1.0	0.7	0.1	1.3	2.1
Industrial production	0.7	-4.7	2.2	0.7	0.6	1.8
Employment	0.8	0.1	0.0	-0.1	0.5	0.8
Unemployment (%)	5.1	5.2	5.7	5.8	5.8	5.5
Government balance (% of GDP)	-2.6	-4.6	-4.2	-4.1	-3.8	-3.4
Gross government debt (% of GDP)	77.7	80.0	81.3	83.0	83.7	84.0
Current a/c balance (% of GDP)	1.6	1.5	1.9	1.0	1.5	1.9
Consumer prices	7.8	2.9	3.5	3.5	2.1	1.9
ECB's deposit rate (% EOP)	4.0	3.0	2.0	2.5	2.0	2.0
10yr govt. bond yield (% EOP)	2.6	2.8	3.1	3.2	3.2	3.2
Exchange rate (US\$ per euro, EOP)	1.1	1.0	1.2	1.2	1.2	1.2

Source: Oxford Economics

Baseline forecast

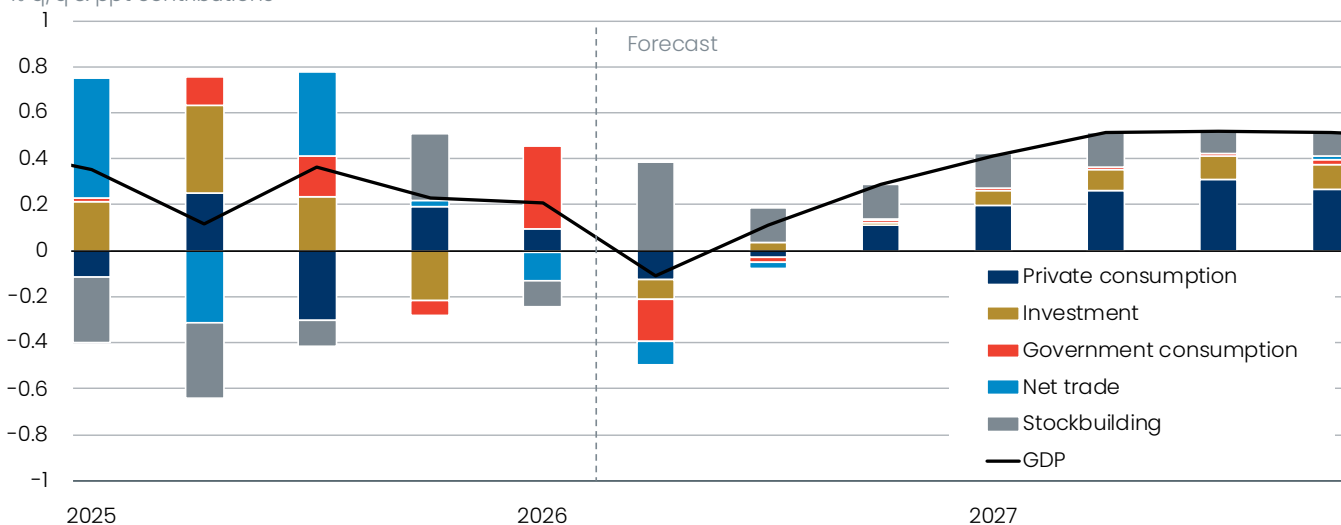
Recent developments

The Austrian economy expanded by 0.2% q/q in Q1, confirming the flash estimate ([Chart 1](#)). Domestic consumption, especially government consumption, drove the expansion, while net trade contracted and investment flattened. Structural headwinds to the economy remain but upward revisions to last year's data confirm that the economy has emerged from two years of recession.

Chart 1: GDP rose by 0.2% q/q in Q1

Austria: Contributions to GDP growth

% q/q & ppt contributions



Sources: Oxford Economics, Haver Analytics

Sentiment data have been mixed this year. Consumer confidence weakened sharply following the outbreak of the US/Israel war with Iran, but has since partially recovered. Headline ESI rebounded in May after falling steadily since January, driven by improvements in consumer and retail sentiment. Manufacturing has held up better than expected: the PMI has been above 50 for three consecutive months, reaching 51.7 in May, and industrial production expanded solidly in Q1, with a notable surge in capital goods output. The Sentix index has also improved from recent lows. Taken together, these data point to underlying resilience in the economy, supporting our call for a moderate GDP expansion this year despite the numerous external headwinds and the contraction we expect in Q2.

The labour market remains under pressure. The unemployment rate was 5.7% in April, unchanged from March, but employment expectations remain subdued and industry continues to shed jobs. Vacancies have been rising steadily, reaching their highest level this year, but remain well below their level from a year ago. The modest Q1 GDP expansion and resilient manufacturing PMI point to a stabilisation, but higher inflation and a more uncertain geopolitical backdrop cloud the near-term outlook. We still expect demand to improve later this year as spillover effects from Germany's fiscal package arrive and increased defence spending in other EU countries benefits Austria's machinery sector.

Short-term forecast

We now expect GDP to grow by 0.6% this year, 0.1ppt higher than in our previous forecast, supported by a stronger-than-expected Q1 and resilient manufacturing. That said, we remain cautious about the near-term

outlook because accelerating inflation is weighing on private consumption, Eurozone growth is set to slow, and tighter financial conditions will dampen investment. We expect Austria's economy will expand by 1.4% next year as real incomes recover and energy base effects pull inflation lower. A prolonged Middle East conflict, with persistently high energy prices and broadening second-round effects, remains the key downside risk.

Headline CPI accelerated to 3.7% in May, up from 3.4% in April, as services inflation surged. Meanwhile, energy prices eased modestly but were still up 9.8% y/y in May, according to a flash estimate. Food prices also eased on the month, but we expect higher commodity prices to feed through later this year. We've raised our inflation forecast for 2026 by 0.1ppt to 3.5%. We still see a gradual path back to target, with CPI averaging 2.1% in 2027, but the risks around inflation remain tilted to the upside given the risk of second-round effects in services inflation.

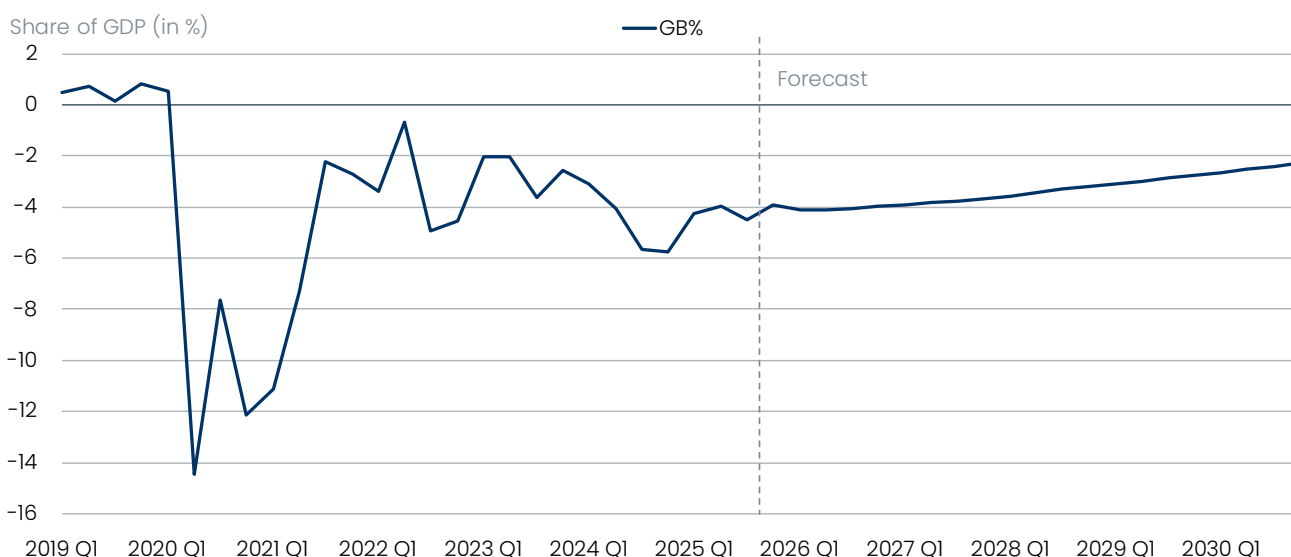
Policy assumptions

Fiscal policy. Austria faces a European Commission deficit procedure, requiring regular fiscal consolidation updates. The new coalition has enacted several measures – a banking-sector levy, higher health insurance contributions for pensioners, and abolishing the climate bonus – and aims to reduce the deficit to less than 3% of GDP by 2028. We anticipate Austria will gradually reduce its debt-to-GDP ratio, supported by bond yields remaining below nominal GDP growth. However, higher defence spending will likely delay this target until 2029, keeping deficits elevated in the near term ([Chart 2](#)).

Monetary policy. We project two 25bps rate hikes by the European Central Bank this year to keep inflation expectations anchored amid a quick rise in energy prices. This reflects a new era of more frequent global supply shocks that require a more robust policy response. Also, the ECB's communication has remained hawkish ever since the inflation surge in 2022, so we don't think the central bank will be able to look through this energy shock, even if it deems it temporary. But we expect the ECB to cut rates again relatively quickly in mid-2027, bringing the deposit rate back to 2% as energy prices normalise.

Chart 2: Fiscal consolidation will gradually reduce the deficit

Austria: Government balance



Sources: Oxford Economics, Haver Analytics

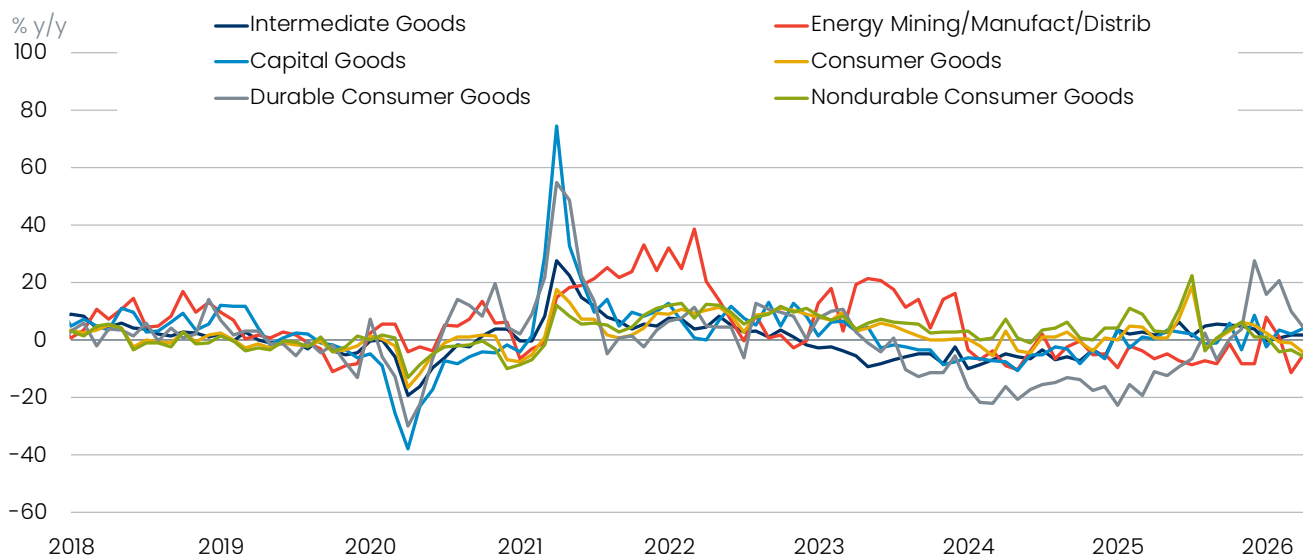
Key drivers of short-term forecast

Eurozone exports remain under pressure. Eurozone GDP (excluding Ireland) expanded in Q1, but growth slowed compared to Q4 2025, reflecting the drag from higher energy prices and persistent trade headwinds. The agreed

15% tariff on US imports from the EU continues to weigh on Eurozone manufacturing, particularly in export-oriented economies like Austria. Meanwhile, increasing competition from China in key product markets and rising input costs pose additional headwinds. We expect the Eurozone (excluding Ireland) to grow by 0.9% in 2026 following a 1% expansion last year.

Chart 3: Industrial production held up in April despite headwinds

Austria: Industrial production by sector



Sources: Oxford Economics, Haver Analytics

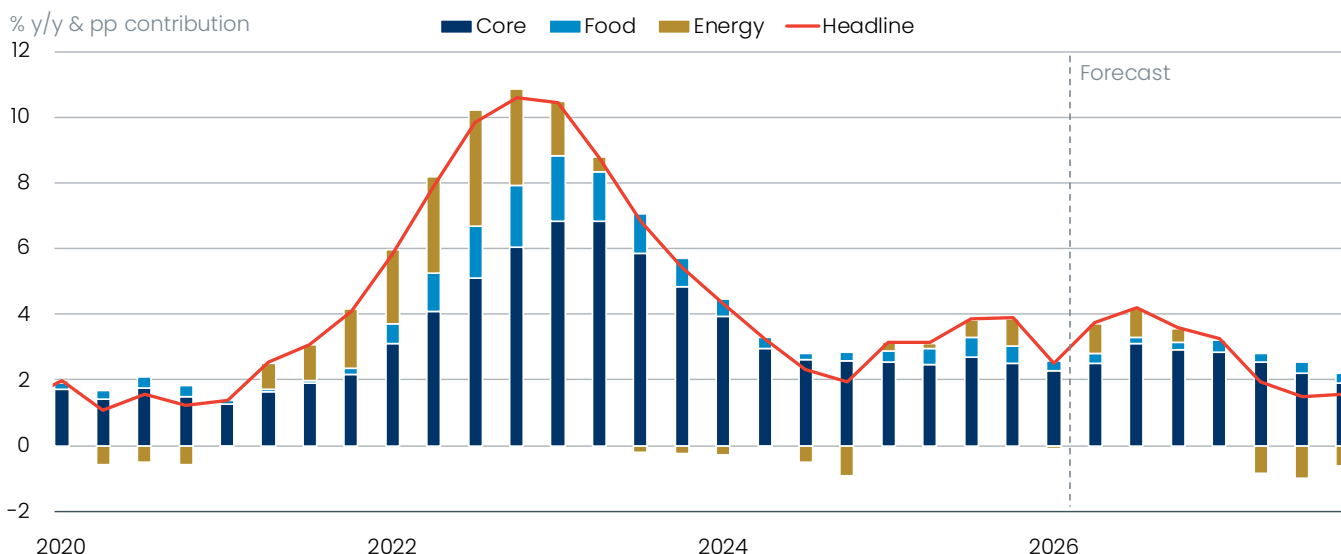
Headwinds against industrial production persist. Although manufacturing strengthened in Q1 ([Chart 3](#)), recent strength likely reflects some order front-loading in March and April rather than a genuine demand recovery. Meanwhile, construction is poised for catch-up after being held back by the cold winter. We remain cautious about the near-term outlook: higher input costs, downbeat sentiment, and reduced momentum in Germany, Austria's most important export market, all point to a softer Q2. A stronger euro, cooling Chinese growth, and US tariffs weighing on global trade add further downside risks to external demand. That said, rising EU defence spending and Germany's fiscal package should gradually boost activity in Austrian industry later this year.

The labour market recovery is delayed. Unemployment stood at 5.7% in April, but data remain prone to revisions and recent surveys point to little near-term improvement as elevated input costs squeeze margins and labour shedding in industry continues. Employment expectations remain subdued, and we don't anticipate a meaningful recovery before 2027. Recovering job vacancies offer some encouragement, and demographic factors should prevent unemployment from reaching the levels seen in previous downturns.

Higher energy prices will push up inflation. Annual headline inflation jumped at the beginning of last year as electricity price caps ended and network charges increased. The resulting base effects and lower electricity levies drove energy inflation lower at the start of this year. However, the Middle East conflict has pushed inflation back above 3% since March. Second-round effects will also raise food and core inflation, with core inflation forecast to peak in Q3 and average 3.5% this year, 0.2ppts higher than our previous forecast ([Chart 4](#)).

Chart 4: Headline and core inflation will average 3.5% this year

Austria: Inflation forecast



Sources: Oxford Economics, Haver Analytics

Competitiveness has weakened. Post-pandemic shortages and surging energy prices in 2022 caused prices in Austria to rise faster than the Eurozone average. The combination of higher wage costs and soaring inflation has weakened competitiveness. Prices in Austria will remain high compared with other Eurozone countries. Therefore, productivity will need to improve to offset the headwinds from labour costs for the export-oriented economy.

Investment will pick up later this year. Investment stabilised in Q1 as machinery and equipment spending compensated for lower construction. Austrian industry is continuing to struggle with competitiveness and a lack of demand, and we're still cautious about the near-term outlook for investment as tighter financial conditions limit activity. However, we think investment will pick up later this year as an improving manufacturing sector increases capex.

What to watch out for

Fiscal budget. The new coalition, sworn in March 2025, inherited a large budget deficit that triggered a formal European Commission excessive deficit procedure. The government responded with a sizeable consolidation package for 2025-2026, combining spending cuts, including abolishing the climate bonus, freezing family benefits, and adjusting pensions below inflation, with higher levies on banks and pensioners' health contributions. The 2025 deficit came in at 4.2% of GDP, better than the originally planned 4.5%, reflecting the impact of the coalition's consolidation package in H2 2025.

We expect the pace of Austria's debt accumulation to slow markedly by 2028 as consolidation measures gradually take effect, although structural spending pressures from ageing, healthcare, and defence remain. The EU's activation of the national escape clause in early 2026 provides additional fiscal flexibility for defence spending, a welcome buffer given Austria's commitment to significantly increase its military budget, but non-defence deficits must still be reduced as part of the excessive deficit procedure. Rating agencies have responded with downgrades and negative outlooks, including the recent DBRS downgrade to AA (high). We think the 2028 deficit target is achievable but precarious, hinging on strict expenditure discipline at the federal and provincial levels.

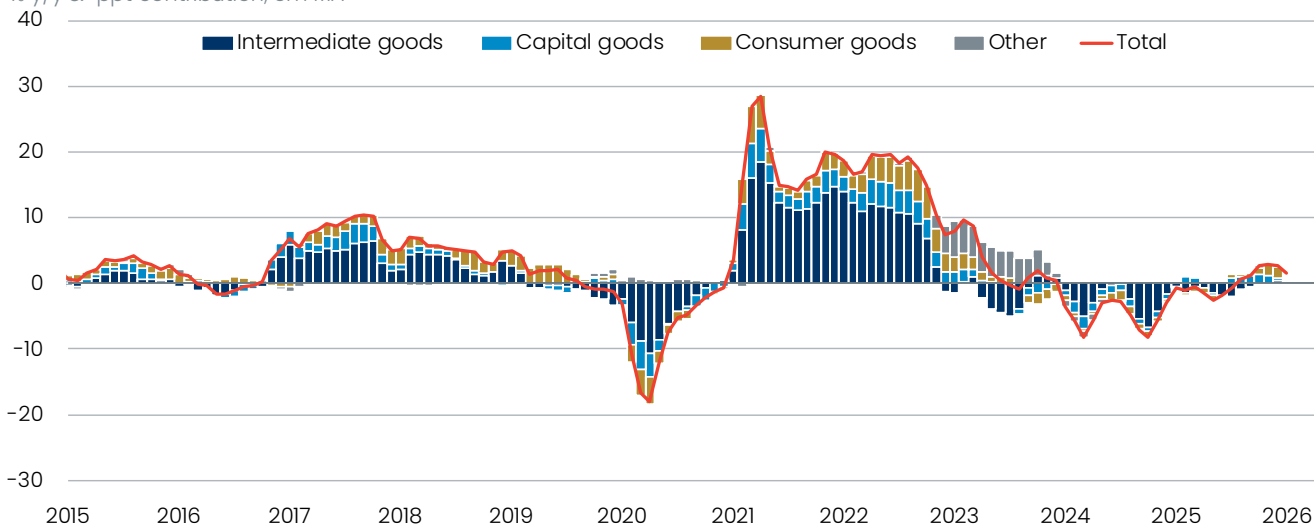
Trade remains under pressure. Rising protectionism, higher US tariffs, and geopolitical tensions are weighing on the global economy. These trends have led to a deterioration in the contribution of exports to growth and

negatively affected firms' investment intentions. Exports weakened over the last two years and have only recently returned to growth, albeit from a low level ([Chart 5](#)). Risks to export growth will continue to shape the outlook, given Austria's integration into German car supply chains, the resulting high exposure to US tariffs, and the ongoing transition in the automobile industry.

Chart 5: Trade has improved recently, but momentum remains low

Austria: Trade with world by categories

% y/y & -ppt contribution, 3m MA

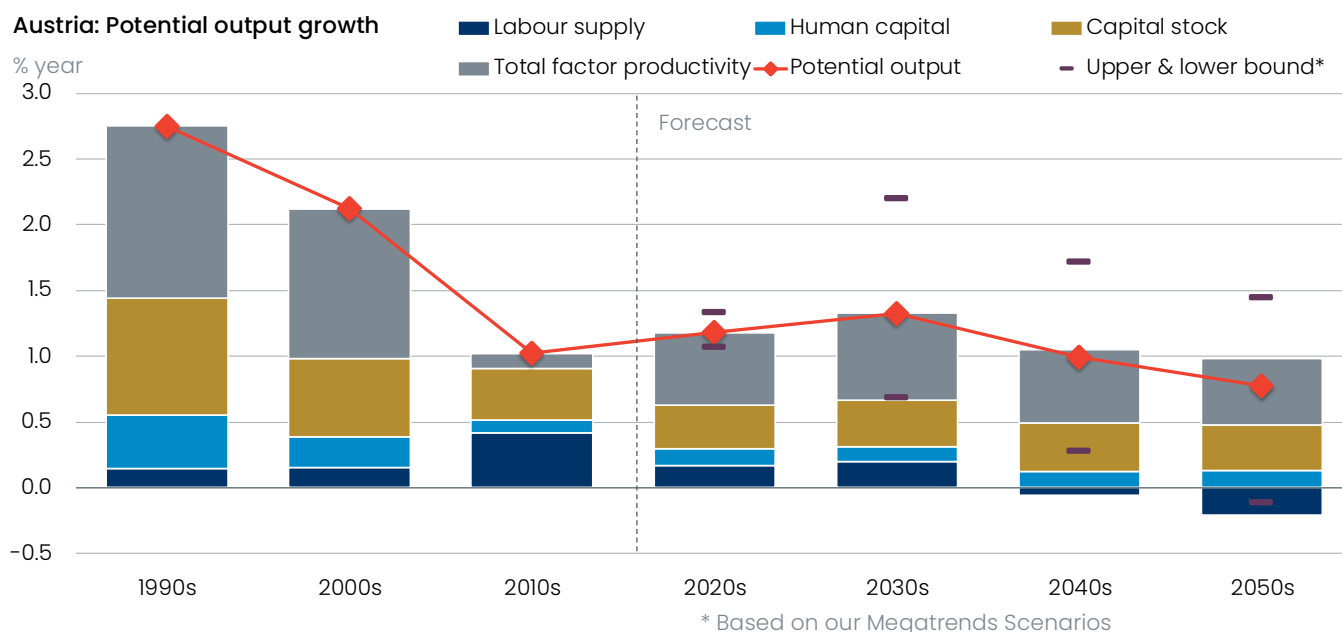


Sources: Oxford Economics, Haver Analytics

Long-term prospects

Potential growth was above 2% until the global financial crisis, falling to around 1% in the 2010s. We anticipate only a modest improvement this decade, but expect stronger economic growth above the Eurozone average during the 2030s, with a shift in the composition of potential growth. We forecast that productivity will benefit from the [adoption of artificial intelligence](#) and anticipate that higher investment will mitigate ageing capital stock ([Chart 6](#)).

Chart 6: Productivity will be the main driver of potential growth in the next decade



Sources: Oxford Economics, Haver Analytics

Meanwhile, the demographic outlook for the coming decade is significantly weaker than recently, when an expanding working-age population was a key driver of potential output growth. Absent additional migration flows, we expect the working-age population to peak in 2031 and forecast the total population will shrink by 0.1% a year starting in 2035. In the future, labour's contribution will decline despite a rising participation rate, and employment will level off due to the ageing population.

Increasing the pension age is one lever to maintain the labour pool. The standard retirement age is 65 for men and 60 for women, with the retirement age for women set to gradually rise. Women born after June 1968 will need to work until 65. The outlook may improve if the government implements policies to enhance participation. Alternatively, a larger-than-anticipated level of immigration could help offset the demographic headwinds. However, we note that political opposition to migration has increased in recent years.

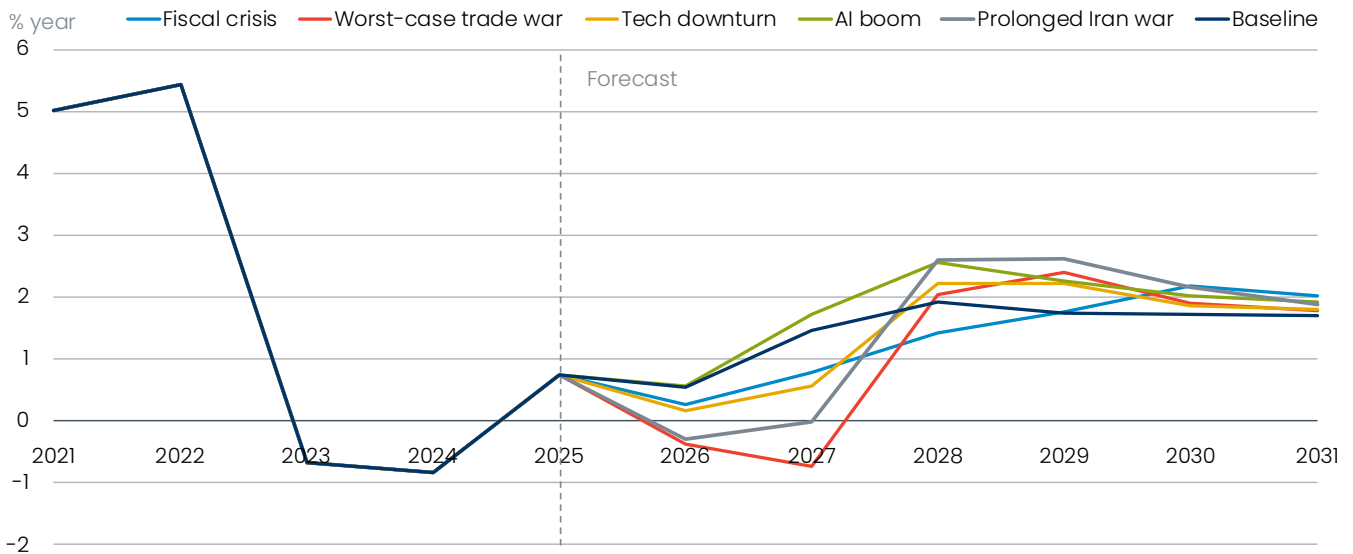
Scenarios

Exposure to key global risks

AI boom. The global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. In the early stages of the scenario, US tech capital spending continues to grow sharply, mirroring the upswing witnessed in the 1990s. The surge in tech investment is accompanied by a further upswing in stock market performance. The world economy strengthens as robust US growth spills over globally, including to exporters of tech-related products to the US. Global growth remains buoyant, as productivity gains help keep price pressures in check despite the strength of global demand. Austria's growth would be 0.3ppts a year higher than our baseline forecast over the next three years (Chart 7).

Chart 7: A more severe trade war and a prolonged Iran war are key near-term risks

Impact of scenarios on GDP growth



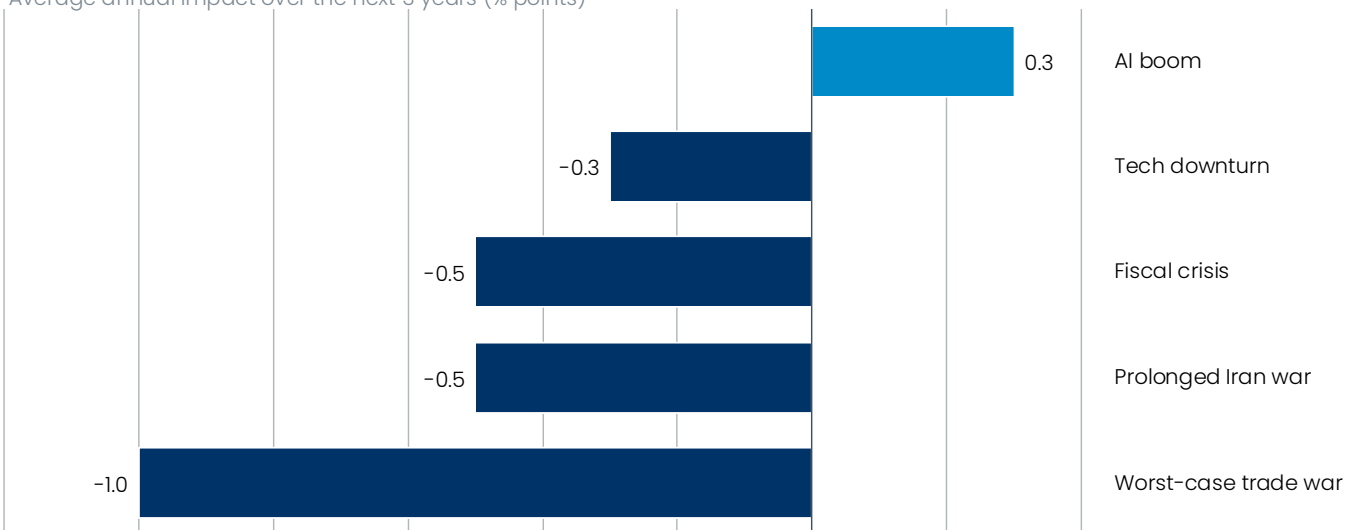
Source: Oxford Economics

Tech downturn. AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falls in stock prices and investment. US growth grinds to a halt during 2026, despite increased Federal Reserve policy easing, as the recent surge in US capital expenditure comes to an abrupt end. US weakness spills over globally. Exporters of tech-related products to the US are especially hard-hit, but economies around the world suffer amid worsening sentiment and a substantial broad-based depreciation of the US dollar. Average growth in Austria would be 0.3ppts a year below our baseline forecast over the next three years ([Chart 8](#)).

Chart 8: Risks are skewed to the downside

Impact of scenarios on GDP growth

Average annual impact over the next 3 years (% points)



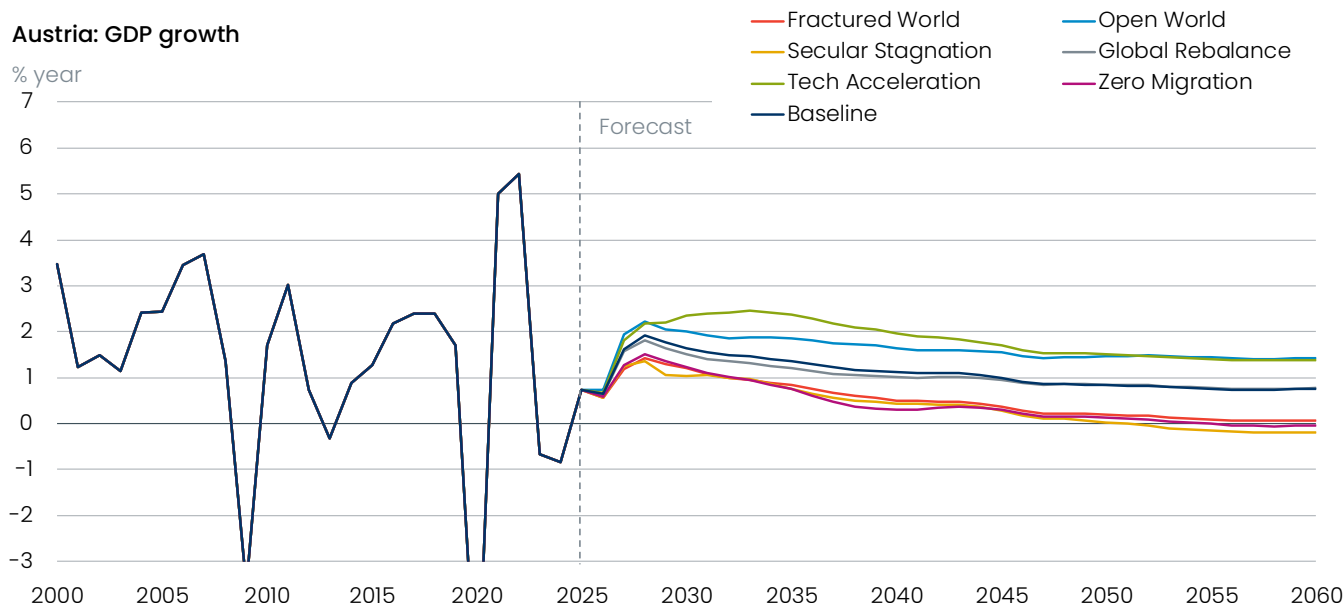
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, the successful deployment of new technologies, including AI, lifts economic growth through higher productivity and faster innovation. Countries at the technological frontier, mostly advanced economies, benefit first. As a result, annual GDP growth would be 1.8ppts higher than our baseline forecast. Nominal and real interest rates would also rise.

Chart 9: Our fractured world scenario highlights Austria's vulnerability



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound the impacts on potential output, while poor productivity limits real wage growth and labour participation. Austria's GDP would grow 0.6ppts below our baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.2	0.1	16
Market demand	3.0	0.0	7
Market cost	2.0	0.0	4
Exchange rate	3.3	0.4	45
Sovereign credit	3.7	0.0	42
Trade credit	4.0	0.0	15

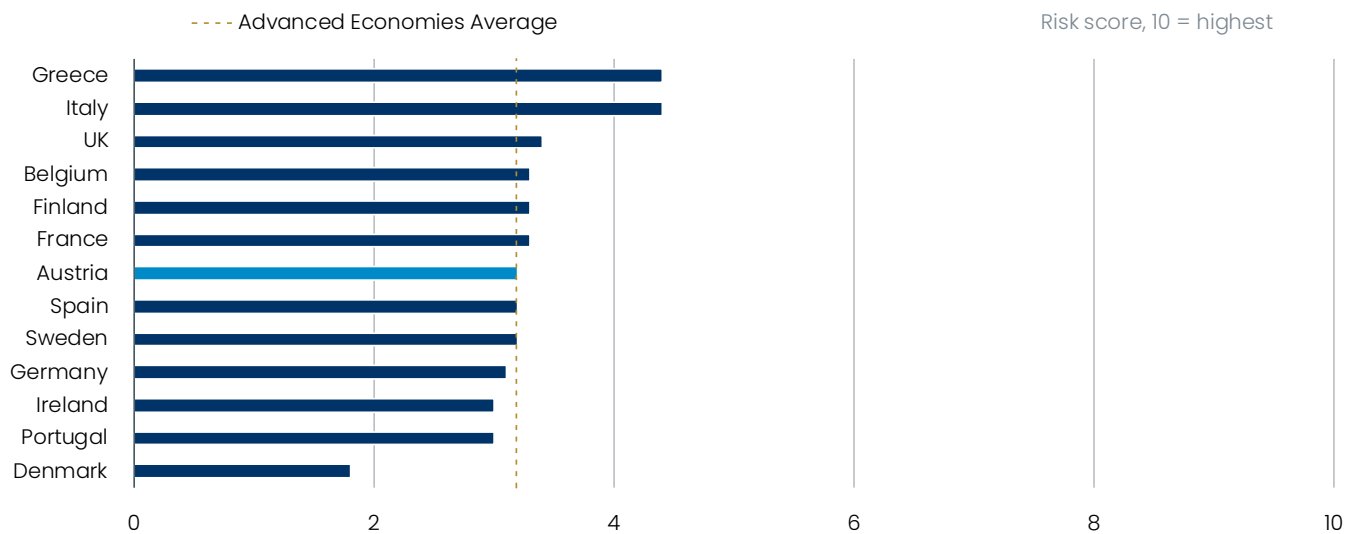
Source: Oxford Economics

Overall risk for Austria: 3.2/10*

Austria's economic risk score now stands at 3.2, reflecting a recent update to the trade risk score. This score is slightly higher than that of Germany, but in line with the advanced economies average (Chart 10).

Chart 10: Austria's risk score is in line with the advanced economies average

Economic risk: Austria vs Advanced economies average



Source: Oxford Economics

The Austrian economy contracted in 2023 and 2024 before stabilising last year, with data revisions now pointing to 1% growth in 2025. We expect growth to gradually recover further, with manufacturing showing more resilience than previously expected. We think spillovers from Germany's fiscal package and increased EU defence spending will provide tailwinds for growth in the coming quarters. Risks are still tilted to the downside as accelerating inflation weighs on domestic demand and foreign demand remains a concern, given a stronger euro and the 15% tariff rate agreed to in the EU-US trade deal.

Market demand: 3.0/10

The market demand risk score is relatively low at 3.0 and below the Western European average of 3.3, reflecting Austria's high level of GDP per capita, political stability, and supportive automatic stabilisers. In 2010–2018, Austria benefitted from its tight integration with European industrial value-added chains, which were lifted by rising demand for industrial goods. The coronavirus pandemic severely affected demand, as did the recent economic slump and high inflation, which have weighed on real incomes.

But medium-term demand prospects are still strong, and we think domestic demand will strengthen once inflation normalises and the labour market starts benefitting from a recovering industrial sector.

Market cost: 2.0/10

The market cost risk score is 2.0, below the Western European average of 2.8, partly reflecting the low inflation outlook. After 3.5% last year, we forecast CPI inflation to average 3.5% this year due to higher energy prices, followed by an average of around 2% a year over the next five years.

Exchange rate: 3.3/10

The exchange rate risk is 3.3, in line with that of other Eurozone countries. The low score reflects large current account surpluses, but corporate loans and the banking sector are a modest risk.

The euro surged to US\$1.20 in early 2026 as US tariff uncertainty and a partial shift away from US assets drove dollar weakness, but has since pulled back to around US\$1.15 as those initial drivers have gradually faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Fed easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises. ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at US\$1.17 at end-2026 and US\$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

Sovereign credit: 3.7/10

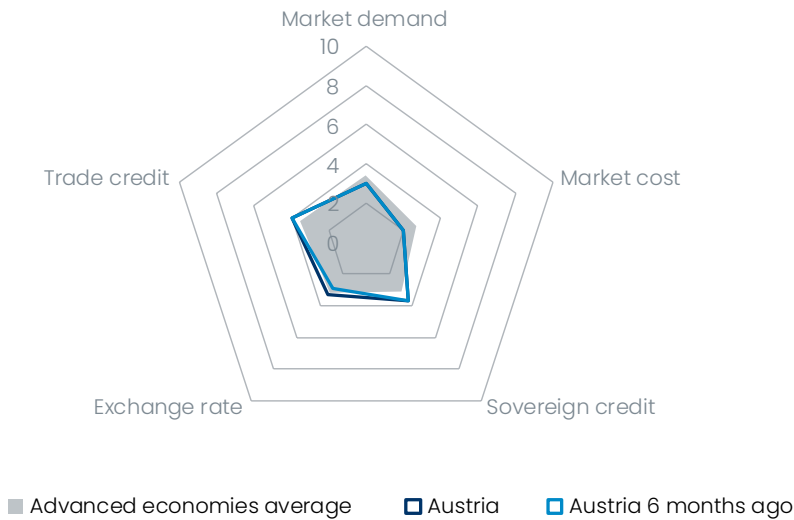
Under our data-driven methodology, we score Austria's sovereign credit risk at 3.7, significantly above the Western European average of 3.1.

The score reflects Austria's recent weaker economic performance, a sharp increase in debt levels, and an unbalanced budget. Two of the three main rating agencies still rate Austria as AA+/Aa1, one notch below the top investment grade. S&P recently confirmed its AA+ and stable outlook rating, while Fitch downgraded Austria to AA early last year and reduced the outlook to 'stable' from 'positive' due to concerns about an unsustainable budget deficit path. Similarly, Moody's confirmed Austria's Aa1 rating but revised the outlook to 'negative' from 'stable'. Austria lost its last AAA rating this June when Morningstar DBRS reduced its rating to AA (high) from AAA while changing the trend to 'stable' from negative.

We forecast a stable economic outlook, which will support Austria's fiscal position, but don't anticipate a balanced budget for the long term. We think the budget deficit likely peaked in 2024 and is in the process of gradually normalising.

Chart 11: Sovereign credit risk is above the advanced economies average

Economic risk: Austria vs Advanced economies average



Source: Oxford Economics

Trade credit: 4.0/10

The trade credit risk score – a measure of private-sector repayment risk – of 4.0 is slightly above the Western European average of 3.6. This reflects a heavy reliance on exports and heightened vulnerability to external competition.

However, a combination of solid but steady economic growth and successful reforms will support the corporate sector's outlook. We think the economic climate will keep improving after the current economic slump, so the private sector will benefit.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).